

Joe Filippi

Homework 1:

$$1.9) r = \frac{3,885,000 - 3,500,000}{3,500,000} \times 100 = 11\%$$

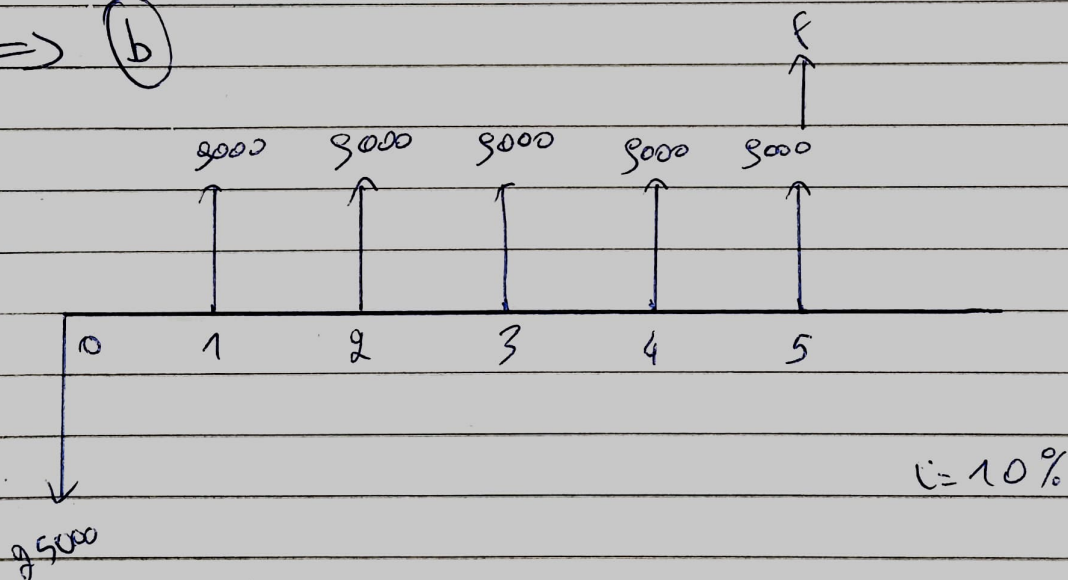
$$1.11) a) ROR = \frac{1125}{12500} \times 100 = 9\%$$

$$b) ROR = \frac{6160}{56000} \times 100 = 11\%$$

$$c) ROR = \frac{7600}{95000} \times 100 = 8\%$$

$\Rightarrow$ (b)

1.23)



$$1.33) a) 1.8 \times 1.1 \times 1.1 = 2.178 \text{ million}$$

$$b) \text{ amount of interest} = 2.178 - 1.8 = 0.378 \text{ million}$$

$$S_{1.1}) \quad F = P(1+i)^m$$

$$3P = P(1+i)^m$$

$$3 = (1+i)^m$$

$$m = \frac{\log(3)}{\log(1+i)}$$

(i here should be divided by 100).